

# Commercial Loan Application Narrative

Borrower: Lakeside Grocers Co.

The applicant is Lakeside Grocers Co., an independent grocery operator. Principals are Robert Lang and Amara Osei. The company operates in the regional grocery retail industry.

## Facility Request

Lakeside is requesting a term loan of \$1,900,000. The term of 12 years is appropriate for the useful life of the assets financed.

## Character

FICO scores of 668 and 655 were reported. Robert Lang has 9 years of relevant experience in grocery retail. There are no liens or judgments against the principals. No bankruptcies appear on either record. Late payments were noted in the last 24 months on a vehicle facility. Disclosure was adequate but required follow-up.

## Capacity

Management represents a DSCR of 1.45x on the proposed facility. Adjusted EBITDA for the trailing twelve months was \$980,000. Total annual debt service on the proposed facility is \$840,000. Revenue has been stable. Add-backs are reasonable.

## Capital

The principals are injecting an equity contribution of \$420,000. Total project cost is \$2,320,000. The company reports adequate tangible net worth. Lakeside holds 3 months of operating reserves.

## Collateral

The store was appraised at \$2,450,000. The bank will hold a first lien. The appraisal was completed 7 months ago. Personal guarantees have been obtained. The collateral is marketable retail real estate.

## Conditions

The regional grocery sector is a stable industry. The largest single customer accounts for 4% of revenue. Use of proceeds is clearly stated. There are no known environmental concerns.